
Investable Opportunity within the Gaming Industry

Group 4

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Executive Summary

Project Scope

- Evaluate investment opportunities in **China's gaming industry**, the world's largest gaming market, supported by scale, high engagement and recurring monetization
- Apply a **5-year horizon** focusing on three pure-play players: **NetEase, 37 Interactive, Perfect World**
- Assess across **financial strength, IP/product capability, global scalability, and valuation positioning**

Analysis

- **Industry Structure:** **High barriers** (regulation, capital, IP) with **duopoly structure** and overseas growth potential
- **Market Evolution:** Entering a **shakeout phase** with slower growth and intensified competition
- **Company Positioning:** NetEase leads in **cash flow** and **IP strength**; 37 Interactive offers growth with higher volatility; Perfect World faces weaker fundamentals and downside risk
- **Valuation Insight:** Market mispricing exists—NetEase trades at a **discount**, while 37 Interactive reflects growth premium and Perfect World prices in recovery expectations

Conclusion

- **Long NetEase:** Best risk-adjusted return driven by strong fundamentals and undervaluation



01

Market Overview

China's Gaming Market at a Glance

China's mobile-first gaming market combines strong engagement with scalable live-service models, driving sustained demand and high growth.

Market Fundamentals

- China is the **world's largest gaming market (~\$60–70B)**, supported by a **massive and highly engaged player base**.
- The market is **mobile-dominated**, with most revenue from mobile games driven by high smartphone penetration.
- A **large streaming audience and esports ecosystem** enables rapid content adoption and viral game trends.

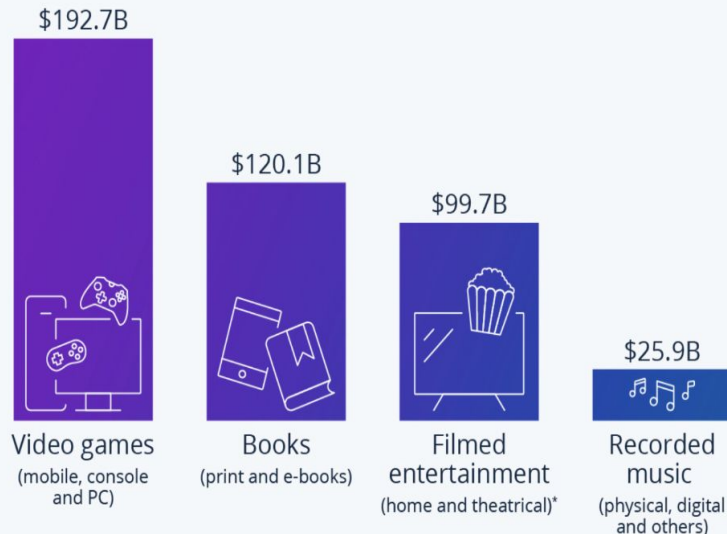
Growth & Monetization

- Gaming has **surpassed** film and music in revenue, driven by **digital distribution** and **emerging markets**.
- The industry relies on **live-service models** (IAP, subscriptions, DLC) to generate **high-margin and predictable revenue**.
- **Low marginal costs** and **increasing overseas expansion** allow Chinese studios to scale revenue globally.

* IAP: In-App Purchases

* DLC: Downloadable Content

Estimated global revenue from video games, books, filmed entertainment, and recorded music in 2021

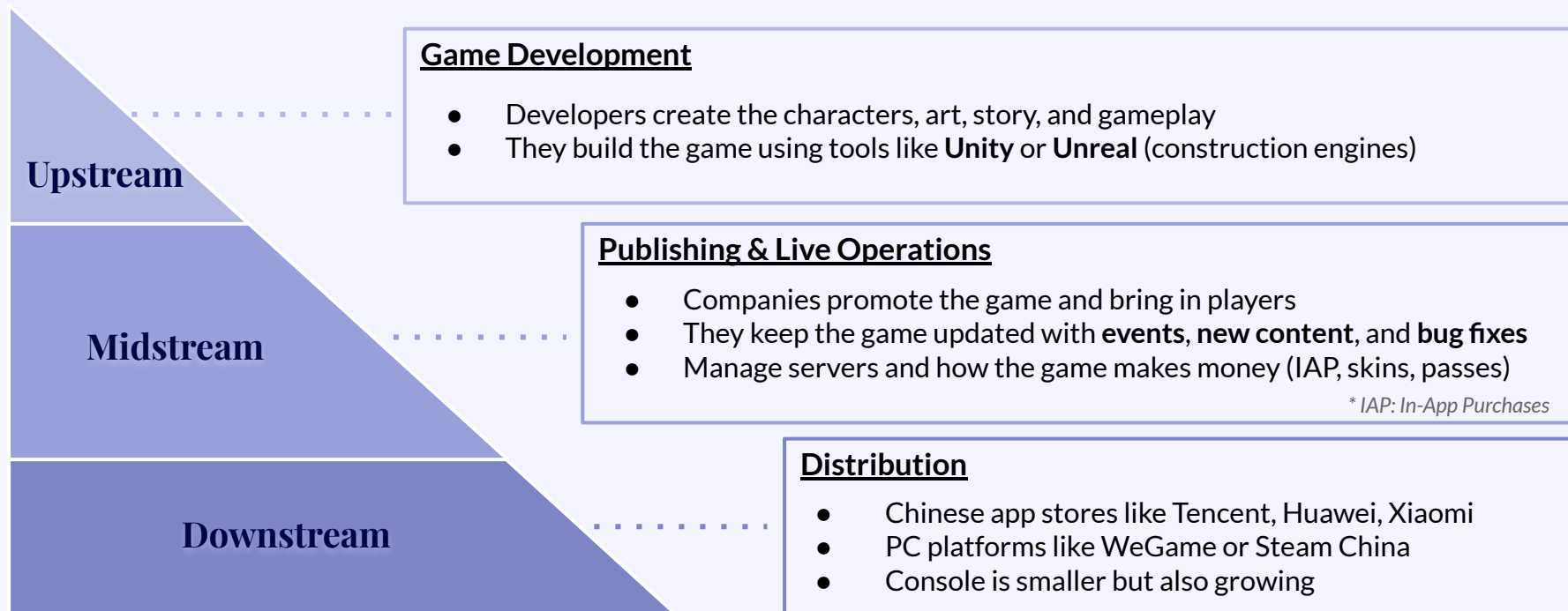


* excl. pay TV

Sources: Statista, Newzoo, IFPI, Motion Picture Association

Value Chain of China Gaming Industry

China's gaming value chain is vertically integrated, with Publishing & Live Operations as the key value driver of monetization and engagement.



Structural Strength & Share Price Drivers

Structural barriers and durable IP entrench incumbent advantage, supported by a growing, more engaged consumer base that underpins long-term revenue growth.

Structural Strength

Durable IP & Monetization

- Hit games evolve into long-term franchises
- High margins + recurring revenue (live ops, in-game spending)

High Barriers to Entry

- Capital-intensive development & infrastructure
- Platform and regulatory gatekeeping favor incumbents

Expanding Demand

- Gaming is now mainstream (rivals film/music)
- Broader demographics (women, older players)
- Social + interactive engagement drives recurring spend
- Younger gamers aging into higher spending power

Share Price Drivers

- Franchise Expansion
- Regulatory Relief
- M&As
- Global Scalability
- Strong Earnings

1 Video Game Device Usage by Age

Source: Newzoo



2 Distribution of US Video Game Players by Age

Source: Entertainment Software Association



China's Game Regulation

Highly centralized regulation increases barriers to entry and favors large, well-capitalized firms.

Main Regulatory Bodies

- **National Press and Publication Administration (NPPA)** - Approves game licenses (ISBNs) * ISBN: International Standard Book Number
- **Cyberspace Administration of China (CAC)** - Oversees data security & online content
- **Ministry of Industry & Information Technology (MIIT)** - Issues ICP licenses for operators * ICP: Internet Content Provider
- **General Administration of Sport** - Regulates Esports
- **Provincial Governments** - Local incentives & pilot programs

Key Policies

- **Government Approval Required:** Strict approval and content regulation, requiring NPPA licensing before launch.
- **Youth Restrictions:** Real-name registration and limited playtime.
- **Monetization restrictions:** Limiting daily rewards and aggressive spending mechanics.

Industry Impact

Large firms navigate regulation more efficiently

Smaller firms face delays & higher compliance costs

Market concentration increases

Slower game approval cycles limit supply

Downside risk

Policy and regulatory uncertainty pose meaningful downside risk to growth and valuations.

Domestic Regulatory Risk

- **Regulatory Uncertainty:**
Unpredictable NPPA approvals create launch and pipeline risk
- **Monetization Pressure:**
Dec 2023 draft rules tighten control on in-game monetization
- **Youth Protection Constraints:**
Oct 2024 regulations enforce real-name verification and spending caps
- **Policy Risk:**
Authorities can reclassify gaming as socially harmful, impacting sentiment and growth

Geopolitical Risk

- **Data Sovereignty Risk:**
US and Europe impose strict data localization barriers
- **Geopolitical Pressure:**
Tensions restrict access to key markets (US, India)
- **Localization Burden:**
Compliance requirements raise cost and execution complexity
- **Tech Constraint:**
US export controls limit advanced compute for AI development

Market / Macro Risk

- **Macro Pressure:**
Slowing growth and deflation weaken discretionary spending on gaming
- **Platform Concentration:**
Heavy reliance on mobile (66% of spend) increases policy exposure risk

Government Outlook: 15th FYP

Given the government's support of the industry outlined in the FYP, market revenue is projected to reach ~\$97.6B by 2030 (8.4% CAGR).

Tailwinds

- **Structural Growth:** Digital economy to reach 12.5% of GDP by 2030, supporting long-term expansion
- **Policy Alignment:** AI-driven gaming fits Beijing's core industrial priorities
- **Cultural Support:** Policy push for cultural industries strengthens content development
- **Demand Uplift:** Income growth policies drive entertainment consumption
- **Ecosystem Support:** "Digital China" buildout and market opening lower costs and enable global partnerships

Headwinds

- **Tech Self-reliance Push:** Policy emphasizes reducing dependence on foreign technology
- **Compute Constraints:** US export controls limit access to advanced chips, slowing AI development
- **Regulatory Rigidity:** No easing in minor protection, real-name rules, or NPPA approvals
- **Quality Over Growth:** Government prioritizes industry discipline over expansion speed, with selective intervention

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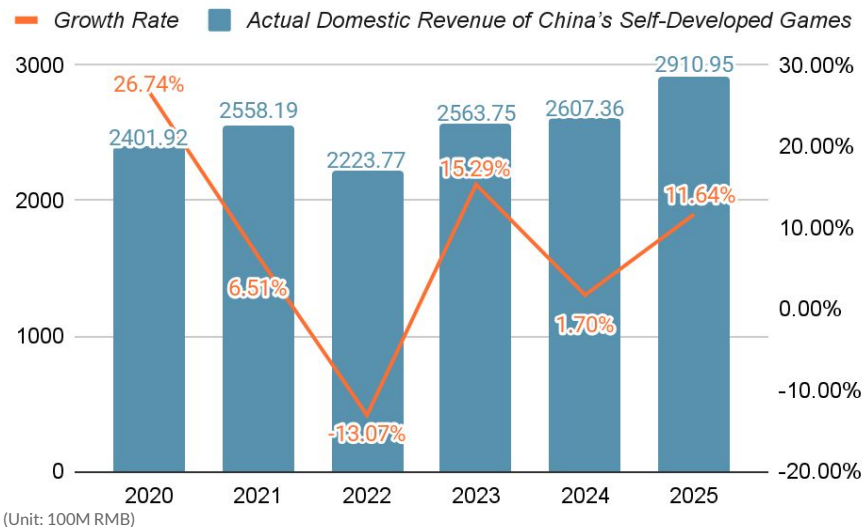
Competitive Landscape

China's Self-Developed Game Market Landscape

The domestic market remains the primary revenue backbone for China's self-developed games, while overseas markets, though smaller and more volatile, are re-emerging as a key growth driver.

Domestic Market

- Largest revenue base
- Growth recovering post-2022



Resource: 2025 China Gaming Industry Report

Overseas Market

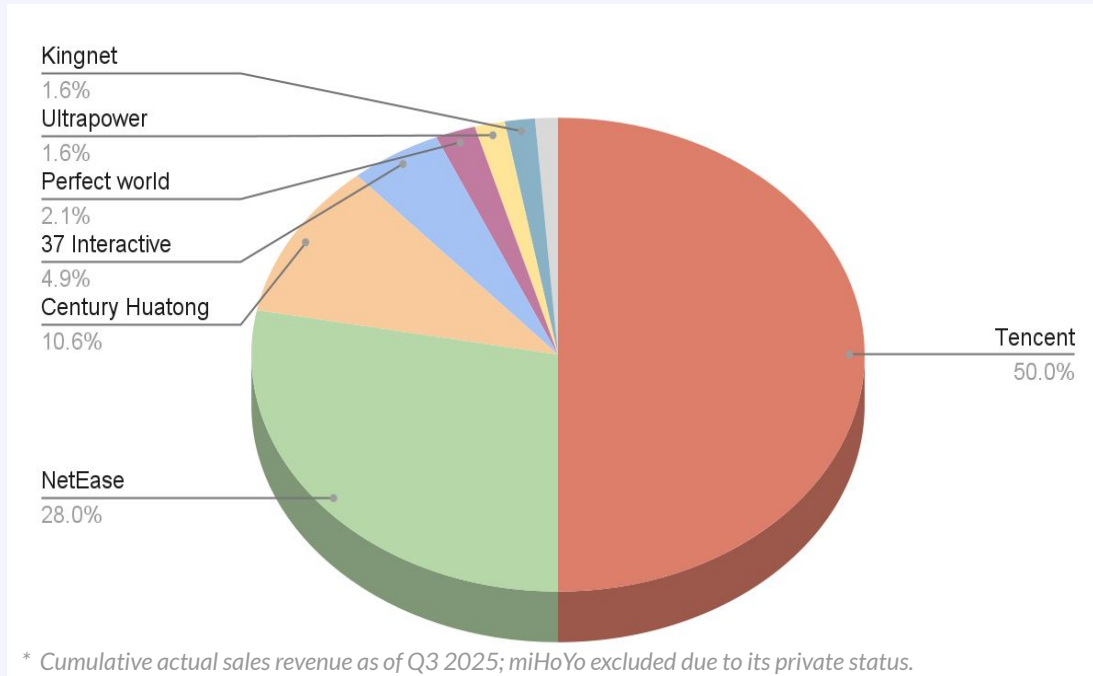
- Smaller but growing
- More volatile growth



Resource: 2025 China Gaming Industry Report

Market Share

China's gaming market exhibits a clear duopolistic structure, led by Tencent Games (~50% market share) and NetEase Games (~28% market share).



Resource: Compiled and visualized by the team

Key players - Competitive Edge

Company	Market Share	Features
 Tencent 腾讯	50%	- Market Leader - Strong integrated ecosystem that boosts monetization and distribution
 NetEase Games	28%	Strong in-house R&D capabilities (proprietary engine - NeoX)
 GHT · 世纪华通	10.6%	- Diversified and successful portfolio built on multiple hit titles - Acquisition of Century Games enabling rapid entry into global markets (2014)
 三七互娱 37 Interactive Entertainment	4.9%	- Local government partnership driving Guangzhou's digital economy initiatives - Sole MSCI ESG AA-rated China internet company, strengthening regulatory trust
 完美世界 PERFECT WORLD	2.1%	- Expertise in developing high-quality Massively Multiplayer Online Role-Playing Game (MMORPGs) - Strong understanding of free-to-play models and effective monetisation
 KingNet	1.6%	- Ability to convert successful PC games into mobile titles - IP-driven partnership strategy supporting scalable development and distribution

Key players - Relationship

No disclosed equity ownership or cross-shareholding relationships among these firms.



Tencent

Perfect World

- Mobile version of Perfect World MMORPG
- Publisher + Developer: Tencent
- IP: Perfect World



Tencent

37 Interactive

- Game: Chuan Qi Ba Ye (2018)
- Platform Distributor: Tencent



Tencent

NetEase

Century Huatong

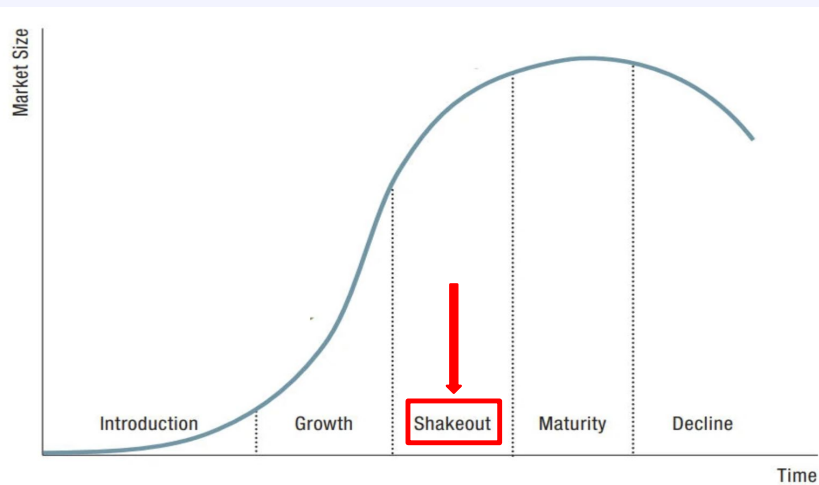
37 Interactive

Perfect World

- Maintains commercial cooperation with multiple R&D manufacturers

Industry Maturity, Product Cycles & 5-Year Horizon

In a shakeout industry with 2–5 year product cycles, a 5-year horizon is necessary to capture consolidation and overseas growth.



Why Shakeout Period ?

- Slower top-line growth
- Market share consolidates to scaled players
- Higher barriers to entry (capital, IP, data)

Game Development:

- Mobile RPG / strategy games: 2–3 years
- Large IP-based or AAA titles: 3–5 years

**AAA titles are high-budget games developed by large studios with significant resources and production quality.*

5 Years for Analysis

- Back-ended returns driven by long development cycles
- Domestic cash flows fund multi-year value creation
- Overseas markets offer asymmetric growth upside

Selected Companies for Deep-Dive Analysis

We focus on three leading, relatively pure-play gaming companies with reliable financial data to enable a clean and comparable deep-dive analysis.



Selected Companies

- NetEase
- 37 Interactive
- Perfect World



Selection Rationale

- Pure-play exposure
- Market share
- Data reliability
- Growth optionality



Excluded Players

- Tencent
 - Diversified
- Century Huatong
 - Financial fraud
- KingNet
 - Small market share



03 Company-Level Analysis

Company Overview

			
Year of Establishment	1997	2011	2004
Market Capitalization	\$73.95 Billion USD	\$7.92 Billion USD	\$6.10 Billion USD
Listed Exchange	NASDAQ、HKEX	SZSE	SZSE
Business Model	Diversified but Gaming-Dominant	Gaming Focused	Gaming with Media Diversification
Gaming Focus Area	• MMORPG • High-Quality Flagship Titles	• Mobile RPG • Casual Monetization	• Traditional PC MMORPG

Primary Revenue Streams

Gaming dominates revenues across all players, but diversification depth clearly separates NetEase and Perfect World from the mobile-focused 37 Interactive.

	Structures	Gaming rev. Type
	• Games & Value-Added Services (~80%) • NetEase Cloud Music & Innovative/Other Businesses(~15%) • Youdao & Educational/Ad Services (~5%)	• In-game purchases • Season passes & premium content
	• Mobile Games (~97%) • Browser & Web Games(~3%)	• In-game item sales & gacha • Advertising monetization • Publishing & revenue sharing
	• Online Gaming Development & Operations (~87%) • Film and Television Production & Distribution (~11%) • Other Services & Activities(~2%)	• In-game purchases • Subscriptions & time-based payments

Global Revenue Exposure & International Presence

37 Interactive leads in global exposure, while NetEase remains China-focused.
Japan and South Korea are core overseas markets across all firms.

	Total Revenue	China Revenue	International Revenue	% of Domestic	% of International	Global Market
 NetEase Games	RMB 105.3B	RMB 90.6B	RMB 14.7B	<u>86 %</u>	14 %	KR / JP / SG / GB / CA / US
 三七互娱 37 Interactive Entertainment	RMB 16.5B	RMB 8.9B	RMB 7.6B	54 %	<u>46 %</u>	KR / JP / VN / TH / US / EU
 完美世界 PERFECT WORLD	RMB 8.53B	RMB 5.8B	RMB 2.7B	68 %	32 %	KR / JP / US / NL

* Global Market column: countries ordered by strategic importance to target segments.

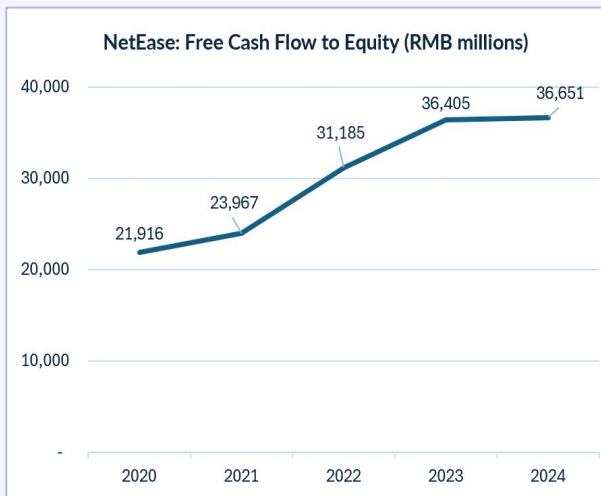
* KR = South Korea; JP = Japan; US = United States; SG = Singapore; CA = Canada; GB = United Kingdom; VN = Vietnam; TH = Thailand; EU = Europe; NL = Netherlands.

Free Cash Flow to Equity

Both companies remain strong, with FCFE reflecting NetEase's scale and 37 Interactive's growth. Perfect World faces a liquidity squeeze, with negative FCFE in 2024 as cash flow cannot cover capex and debt.

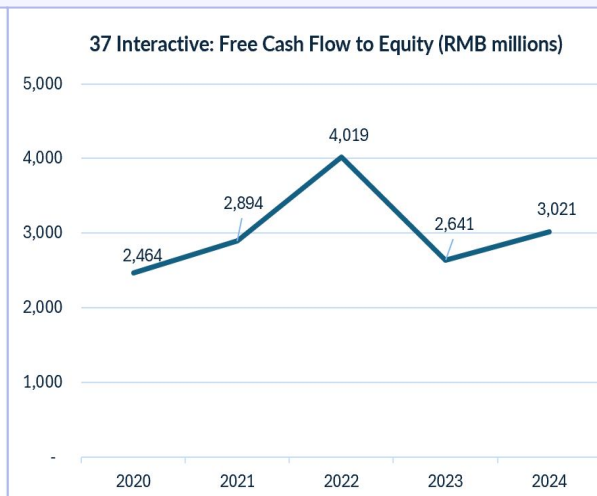
NetEase

- Relatively stable upward trend



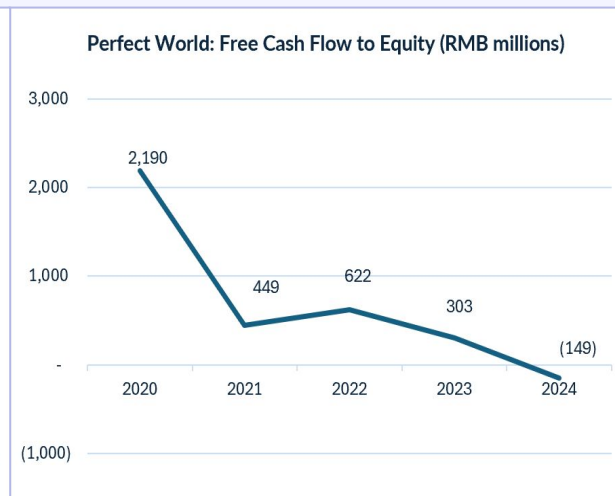
37 Interactive

- More volatile - could be due to the fact that they are still relatively new to the industry compared to its peers



Perfect World

- Declining trend, indication of operational and financial issues
- Net cash from operations has dropped >80% since 2020



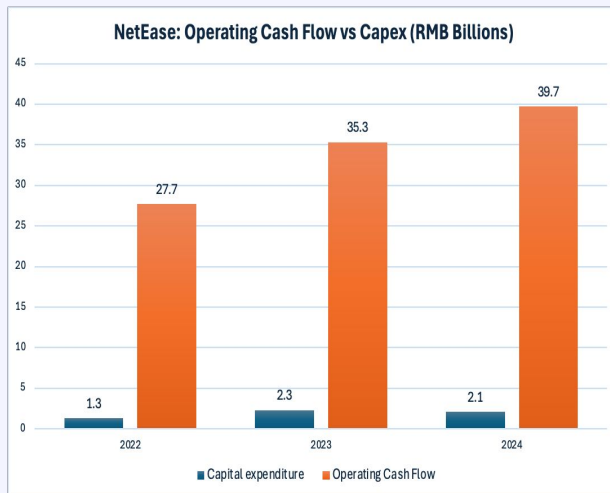
Resource: Compiled and visualized by the team

Capex Funding Structure Comparison (2022–2024)

NetEase shows the strongest internal funding capacity, 37 Interactive remains self-funded with tighter coverage, while Perfect World is increasingly reliant on bank debt to support investment.

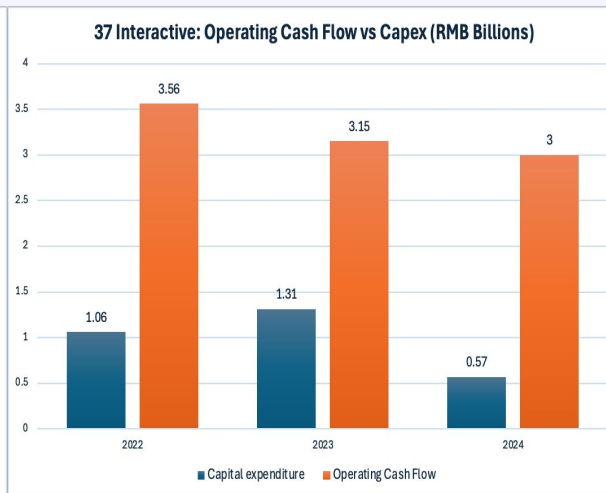
NetEase

- Very high operating cash flow
- Capex < 10% of OCF
- Strong internal funding



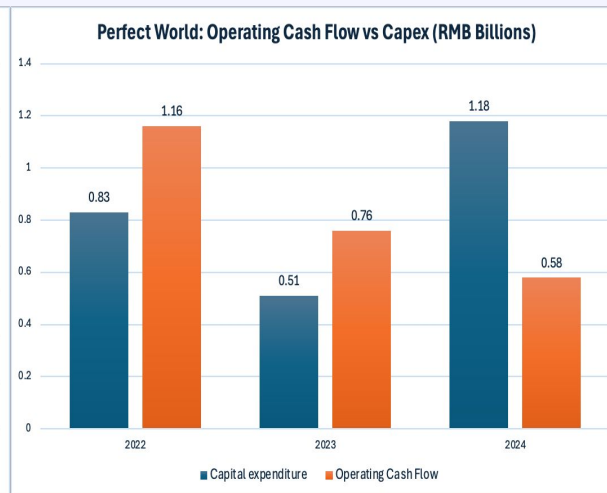
37 Interactive

- Very high operating cash flow
- Capex < 10% of OCF
- Strong internal funding



Perfect World

- Cash flow weak: OCF < capex
- Net Debt rising ~ RMB 0.8B
- External funding risk



Resource: Compiled and visualized by the team

Global Equity Analyst Ratings

Analyst sentiment is strongest for NetEase, while 37 Interactive and Perfect World face more mixed expectations due to higher earnings and growth uncertainty.

NetEase - 118.21 (USD, 04-21-2026)

Overall consensus: Strong Buy

Analyst Point: Bullish ratings with price targets implying ~12-40% upside, indicating strong investor confidence in NetEase's game pipeline and global expansion.

Firm	Position	Price Target	Upside / Downside	From Price Target	Action	Date
Morgan Stanley	Buy	154.00	+30.71%	-	Maintain	Mar 02, 2026
Benchmark	Buy	158.00	+34.10%	158.00	Maintain	Feb 12, 2026
Barclays	Hold	132.00	+12.04%	135.00	Maintain	Feb 12, 2026
Citi	Buy	165.00	+40.04%	161.00	Maintain	Feb 11, 2026
CFRA	Hold	148.00	+25.62%	145.00	Maintain	Nov 21, 2025

37 Interactive Entertainment - 21.92 (CNY, 04-21-2026)

Overall consensus: Buy

Analyst Point: Recent targets indicate capped upside potential, though conclusions are tempered by limited institutional coverage.

Firm	Position	Price Target	Upside / Downside	From Price Target	Action	Date
Goldman Sachs	Hold	18.70	-14.69%	16.30	Maintain	Nov 04, 2025
Goldman Sachs	Hold	16.30	-25.64%	18.40	Downgrade	May 15, 2025

Perfect world - 20.00 (CNY, 04-21-2026)

Overall consensus: Buy

Analyst Point: Opinions are more mixed, with some projecting ~33% upside, while others signal potential downside, reflecting uncertainty around growth sustainability.

Firm	Position	Price Target	Upside / Downside	From Price Target	Action	Date
Citi	Hold	18.00	-10.89%	15.50	Maintain	Feb 04, 2026
HSBC	Buy	26.80	+32.67%	20.90	Maintain	Sep 24, 2025
Jefferies	Buy	18.30	-9.41%	14.10	Maintain	Aug 27, 2025
Goldman Sachs	Hold	11.80	-41.58%	7.30	Maintain	May 15, 2025

Resource: <https://www.investing.com/>

A blurred background image of an office interior. Several people are visible, some standing and talking, others sitting at a table. The image is overlaid with a semi-transparent blue filter. The text '04 Key Variables & Analytical Focus' is centered in white.

04

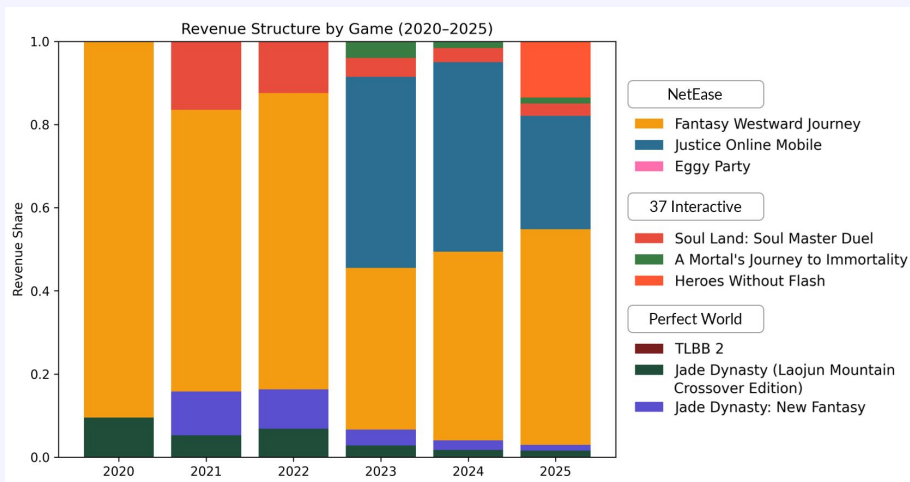
Key Variables & Analytical Focus

Revenue Structure Evolution of Games

Game Revenue diversification increased, Publisher-level dominance persists.

Observations

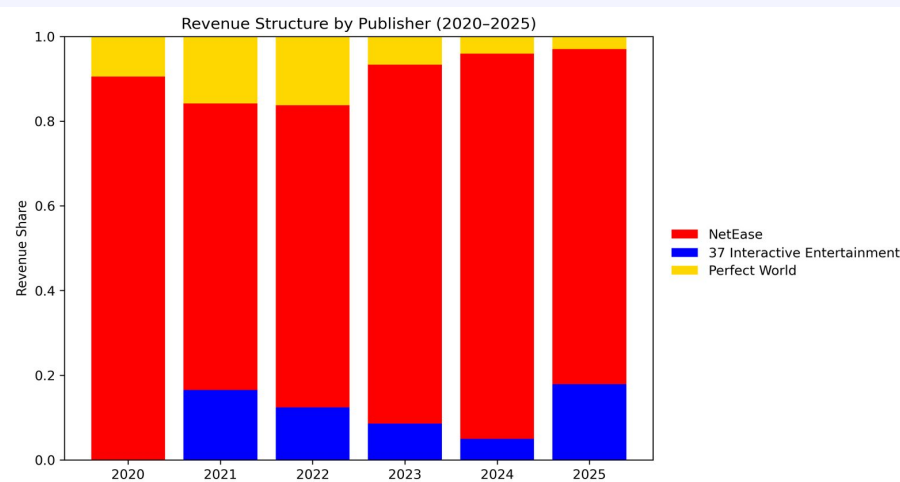
- 2020–2022 : Revenue **highly concentrated in legacy RPG titles**.
- 2023 : **Visible revenue structural reallocation**.
- Post-2023 : Revenue **more diversified** across products.



Resource: Compiled and visualized by the team

Insights

- Game app revenues may experience severe fluctuations, **publisher-level dominance consistently persists**.
- Pandemic amplified monetization of mature IP.
- 2023 launches redistributed revenue shares.



Resource: Compiled and visualized by the team.

MAU Structure & User Redistribution

MAU also shows “Game-level volatility vs. Publisher-level resilience”.

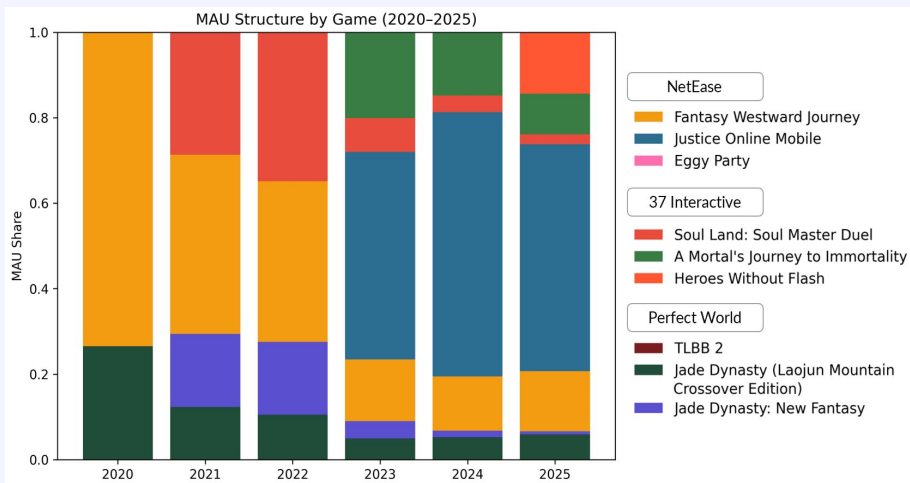
Observations

- MAU Concentration is stronger than revenue concentration.
- New games capture users more rapidly than revenue.

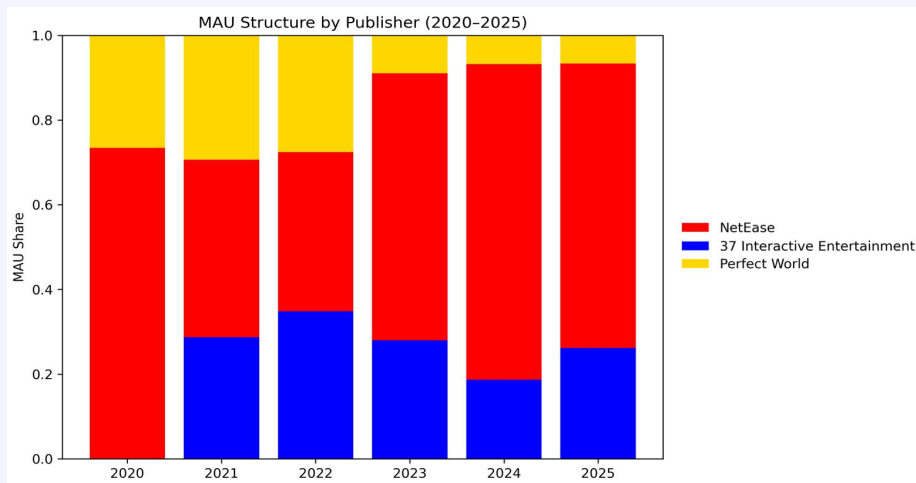
* MAU: Monthly Active Users

Insights

- **Portfolio-Driven Ecosystem:** Continuous new launches create a closed loop, retaining users within the publisher's ecosystem despite individual title churn.



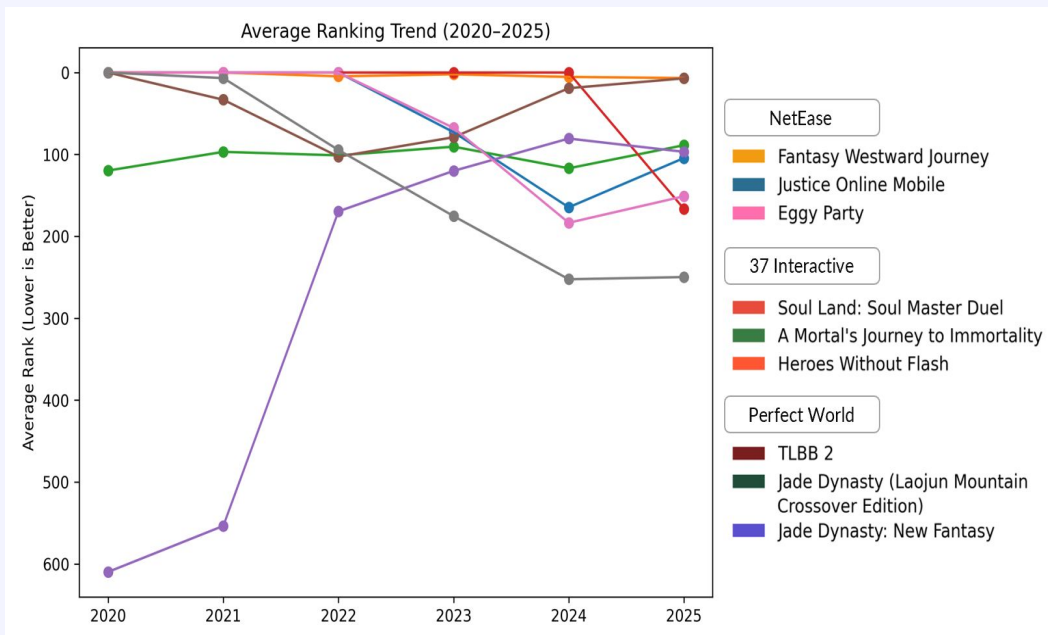
Resource: Compiled and visualized by the team



Resource: Compiled and visualized by the team.

Ranking Dynamics & Competitive Intensity

Rising ranking volatility signals intensified competition and shorter product life cycles.



Resource: Compiled and visualized by the team

Observations

- 2020-2021: Ranking **relatively stable**.
- 2022: **Volatility** begins rising.
- 2023 onward: **Significant fluctuations observed** across the board.

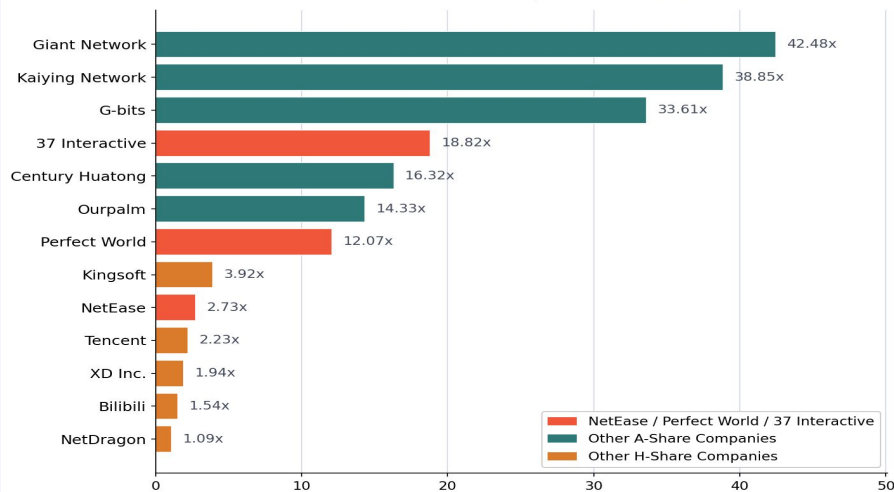
Insights

- Increased volatility **signals intensified competition**.
- Game Lifecycle turnover **becomes shorter**.
- The market officially enters a **mature competitive phase**.

Comparable Company Analysis I

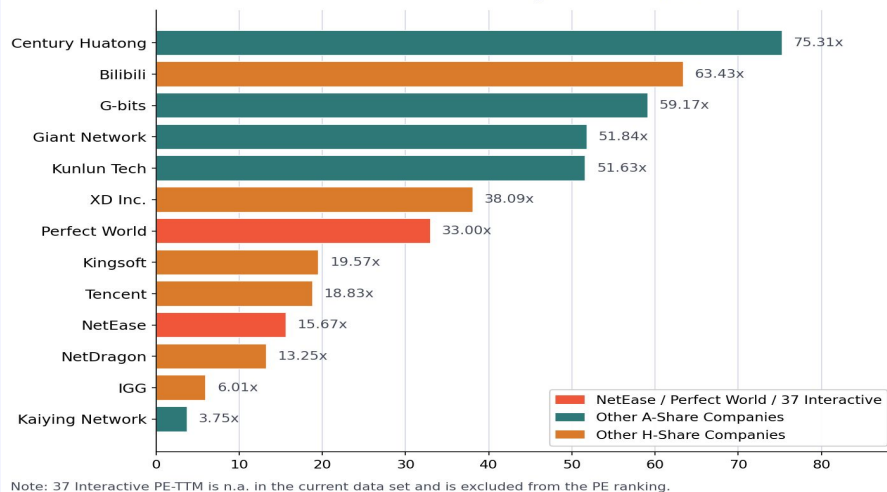
Valuation divergence among key players reflects distinct growth expectations and the A-share premium.

PS-TTM Comparison (x)



- **NetEase appears undervalued** despite strong fundamentals.
- 37 Interactive trades above peers, reflecting **stronger growth** expectations.
- **A-share gaming companies** command a **premium** over H-share peers on a sales-multiple basis.

PE-TTM Comparison (x)



Note: 37 Interactive PE-TTM is n.a. in the current data set and is excluded from the PE ranking.

- **NetEase trades at a discount** to the broader peer set, indicating a more conservative market pricing framework.
- Perfect World trades broadly in line with the wider sector **median** on a PE basis.

Comparable Company Analysis II

NetEase screens below the overall peer mean, Perfect World stays close to the center, and 37 Interactive trades above the Price-to-Sales mean.

NetEase - 9999.HK (H-share)

- Trades at the low end of the peer range despite scale, profitability, and diversified revenue streams.
- The discount is consistent with H-share internet pricing and a more conservative read on pipeline timing.

37 Interactive Entertainment - 002555.SZ (A-share)

- Trades above the all-peer PS mean, reflecting stronger A-share growth expectations for publishing-led names.

Perfect world - 002624.SZ (A-share)

- Trades close to the all-peer center on both sales and earnings multiples.

Price-to-Sales (PS-TTM)



Price-to-Earnings (PE-TTM)

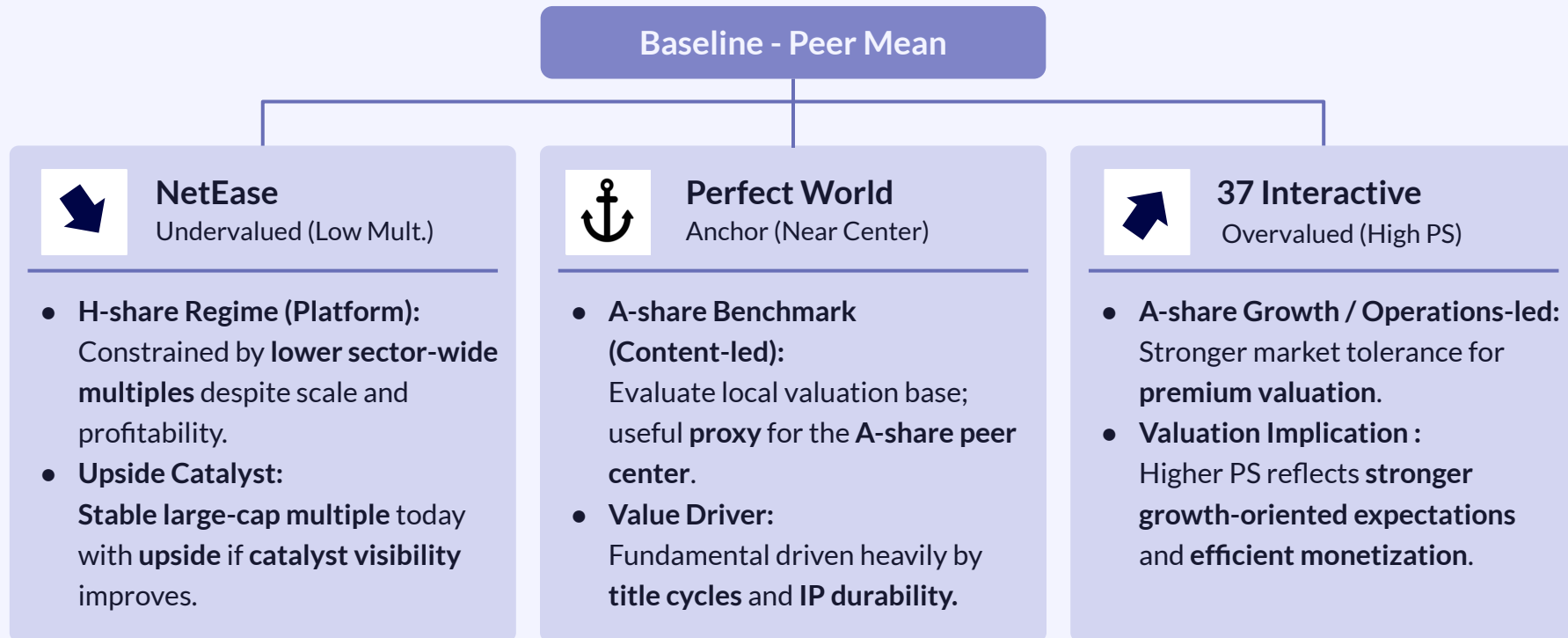


Resource: Public market data; compiled by the team, as of Mar 19, 2026

* PS: Price-to-Sales ; PE: Price-to-Earnings ; TTM: Trailing Twelve Months

Comparable Company Analysis III

Listing market, business model, and investor expectations explains the valuation gaps.



Priority Variables in Scoring

Variables	Selection Rationale
Financial Resilience	Strong cash flow generation and internal financing capacity enable firms to sustain long-term investment across multi-year product cycles and withstand volatility.
IP & Product Strength	High-quality IP and a strong product pipeline are the primary drivers of long-term value, supporting user retention and monetization in a maturing market.
Global Scalability	Expansion into overseas markets provides the most significant growth opportunity while reducing reliance on the highly regulated domestic market.
Scale & Regulatory Positioning	Larger firms benefit from stronger regulatory alignment and distribution advantages, reinforcing their ability to secure approvals and maintain market leadership.
Valuation & Market View	Relative valuation and market sentiment guide entry timing, but may be affected by structural distortions and short-term volatility.



05 Ranking of Companies

NetEase – Valuation Outcome & Financial Health

Base Case: ~\$168 / ADS vs current ~\$118.20 – implied ~42.1% upside

Strong FCF Engine

\$7.3B operating cash flow in FY2025; FCF yield ~12% on market capitalization

\$23.4B Net Cash

~38% of market capitalization is cash – adds ~\$37/ADS to equity value alone

Growth Re-accelerating

10.3% revenue growth in FY 2025, driven by new projects

AI Integration

Systematic AI across development cycle compresses production timelines and boosts margins

Key Risk

China premium: WACC embeds 150 bps country risk; ADS delisting risk and VIE uncertainty

* ADS: American Depositary Shares ; FCF: Free Cash Flow ; WACC: Weighted Average Cost of Capital ; VIE: Variable Interest Entity

37 Interactive - Valuation Outcome & Financial Health

Base Case: ~¥14.8 / share vs current ~¥21.8 — implied ~32% downside

Stable Cash Flow Generation

Operating cash flow ~¥1.1–1.2B

Moderate Cash Position

Net cash ~¥3B, providing moderate financial flexibility

Growth Driven by Global Expansion

Revenue growth ~5–8%, supported by overseas markets

Efficient Monetization Model

EBIT margin ~18–20%, consistent with historical levels

Key Risk

Revenue growth ~3–10% historically, with higher volatility vs larger peers

* EBIT: Earnings Before Interest and Taxes

Perfect World – Valuation Outcome & Financial Health

Base Case: ~¥15.0 / share vs current ~¥20.87 – implied ~28.2% downside

FY25E Rebound Year

25Q3 revenue rose 33.0% YoY and net profit reached ¥ 0.67B; FY25E revenue is modeled at ~ ¥7.2B

¥3.3B Net Cash

As of Sep 30, 2025, cash and cash equivalents were ¥3.31B and short-term borrowings were only ¥0.05B

Margin Expansion

Game gross margin improved to 69.29% from 65.78%, showing cleaner execution and operating leverage

Pipeline Supports FY26

Zhuxian World ramp, Zhuxian 2, Persona 5X overseas rollout, and YH support a stronger FY2026 revenue base

Key Risk

The rebound is visible, but earnings remain hit-driven and the current share price already discounts a sizable recovery

** FY25E anchored to 25Q3 official disclosures*

Ranking Result

NetEase leads, strong in financials and engagement yet is undervalued. 37 Interactive shows growth and excels in global scalability. Perfect World generally ranks lowest for most variables, carrying higher risks.

Factors	Revenue Potential	FCFE + Capex	MAU	P/E	Market Share	Market View	Global Scalability
 NetEase Games	1	1	1	1	1	1	3
 三七互娱 37 Interactive Entertainment	2	2	2	2	2	2	1
 完美世界 PERFECT WORLD	3	3	3	3	3	3	2

* FCFE: Free Cash Flow to Equity ; Capex: Capital Expenditure ; MAU: Monthly Active Users ; P/E: Price to Earning

* Score Explanation : 1 - Strong ; 2 - Moderate ; 3 - Weak

Ranking

- #1 **NetEase** Strong financial position and ability to generate revenue
- #2 **37 Interactive** High global exposure with moderate volatility
- #3 **Perfect World** Weaker financial performance and higher risk

A blurred background image of a woman with curly hair, smiling and pointing with a red pen at a whiteboard. The whiteboard contains various charts and diagrams. The overall image has a blue tint.

06

Investment Recommendation

Investment Recommendation

NetEase's financial resilience, IP depth, and scale advantage deliver the highest risk-adjusted return.

Long NetEase

With a top-tier franchise portfolio and strong domestic retention as well as growing international penetration, NetEase trades at a significant discount to peer companies despite comparable gaming margins and superior growth prospects.

Key Catalysts:

- International game launches (particularly Western markets)
- Continued share buybacks and dividend growth
- Regulatory normalization in China gaming sector
- AI integration into game development pipelines reducing costs

2.73

P/S (TTM)

15.67

P/E (TTM)

\$74B

Market Cap

12-50%

Upside

* P/S: Price-to-Sales ; P/E: Price-to-Earnings ; TTM: Trailing Twelve Months



Thank You
for your attention!

Reference

- https://wmsi.qq.com/webplat/info/news_version3/35312/35313/35314/36708/m21137/201804/711836.shtml?utm
- <https://www.itiger.com/news/1143976939>
- <https://nikopartners.com/east-asia-games-market-in-2025-navigating-the-changes/>
- <https://www.japantimes.co.jp/business/2024/08/30/companies/tencent-netease-japan/>
- <https://www.facebook.com/hoyushiverse11/posts/due-to-recent-political-tensions-between-china-and-japan-the-next-honkai-star-ra/1262012852613682/>
- <https://www.straitstimes.com/asia/east-asia/south-korea-sets-ai-safety-rules-first-in-world>
- <https://www.shinkim.com/eng/media/newsletter/2917>
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- <https://www.chinadaily.com.cn/a/202512/23/WS6949ec3ca310d6866eb2ff54.html#:~:text=The%20report%20highlighted%20that%20China's.both%20metrics%20reaching%20historic%20highs>
- <https://www.scmp.com/tech/tech-trends/article/3337112/chinas-video-game-sales-reach-record-2025-amid-overseas-expansion-ai-investment>

Appendix 1 : Game Policies Passed & Pending

Passed

- **Youth Restrictions (2021):** 3 hrs/week play limit, 400 RMB/month spending cap per game for minors
- **Real-Name Authentication:** Players must verify identity
- **Online Minors Protection Regs (2024):** Age-based content filters, stricter platform obligations
- **Dual Licensing Reform:** Publishers need IPP Publishing; operators need IPP Operating from NPPA
- **High-Quality Publishing Project:** NPPA initiative to cultivate AAA-quality, culturally resonant Chinese titles for global markets
- **Provincial Packages:** subsidies for exports & expansion

* IPP: Internet Printing Protocol

* NPPA: National Press and Publication Administration

Pending

- **Proposed spending caps:** Total in-game purchase limits (walked back after industry outcry)
- **Shanghai Pilot Program:** Foreign games developed in Shanghai are treated as domestic titles, shortening approval timelines
- **Content Rules for Overseas Games:** Chinese content restrictions to apply to games targeting non-China users (final status uncertain)
- **Negative List for Market Access:** Foreign investors prohibited from controlling online game operations in China; structural barrier to full market entry

Appendix 2.1 : Challenges for Going Global

USA

- **CFIUS (Committee on Foreign Investment in the US):** Investigated Tencent in 2020 over stakes in Riot Games and Epic Games
- **DOD 'Chinese Military Company' designation (early 2025):** Pentagon listed Tencent due to alleged ties to China's military-civil fusion strategy
- **DOJ antitrust concerns:** Prompted Tencent to remove two directors from Epic Games board
- **DOJ Data Security Program (April 2025):** Prohibits China-linked companies from accessing Americans' sensitive personal data
- **Protecting Americans from Foreign Adversary Controlled Applications Act (2024):** Forced ByteDance TikTok divestment; sets legislative precedent that could extend to gaming apps

Response: Chinese companies shifting to Europe and Asia; pre-emptive studio downsizings (NetEase's Seattle studio layoffs), branding camouflage: (Tencent Games deleted "Tencent" from its global publishing label, Level Infinite)

Europe

- **Preferred market:** Tencent targeting majority ownership of European gaming studios
- **General Data Protection Regulation (GDPR):** Chinese-owned gaming companies face data sovereignty
- **Digital Services Act (DSA):** Large platforms subject to content moderation, transparency, and systemic risk obligations; Chinese gaming companies face significant compliance burden
- **EU Foreign Subsidies Regulation:** European Commission using new tools to probe Chinese state-backed tech expansion; could extend scrutiny to gaming sector acquisitions
- **Ideological compliance risk:** European regulators increasingly attentive to Chinese companies enforcing CCP-aligned content moderation in global products

Response: Shanghai pilot program (treating foreign-developed games as domestic) could reduce co-development friction with European studios

Appendix 2.2 : Challenges for Going Global

India

- Banned PUBG Mobile and ~200 Chinese apps in 2020 citing national security during China-India border tensions
- Must navigate national security sensitivities and app-store restrictions

Southeast Asia

- Fastest-growing market for Chinese titles; lower regulatory friction; key growth engine alongside Middle East, Africa, and Latin America

Japan & South Korea

- Contribute over 56% of Chinese games' international revenue alongside US & Germany
- **South Korea:** Robust data privacy enforcement (PIPC); Samsung/Kakao ecosystem gatekeeping; no outright bans but strict localization compliance required
- **Japan:** Strong domestic gaming industry; Chinese titles compete directly with Nintendo, Sony, Capcom IPs; localization investment significant

Appendix 3 : The Strategic Core - East Asia

The Reason Why

- **Regulatory Safe Haven**
 - Lack of “foreigner” restrictions
 - Ease of entry - based on ratings not licenses
- **Low Localisation Friction**
 - Shared mythology
 - Unified payment ecosystems
 - Similar user interface



Japan	• Server isolation by hosting data on local servers ensuring information is not mapped back to China • Collaboration with local Japanese companies to create co-developed gaming titles • Design games that has a neutral foundation for both countries then apply the “regional skin” accordingly
Korea	• Ensure compliance with the local laws (be it the appointment of a local representative or adherence to the AI Act) • Consider getting a appointment with the AI Basic Act Support Desk - free consultation service available

Appendix 4 : Geopolitical Risks - East Asia

	Current/Ongoing	Result
Regulations of Japan	Amendment of the Act on the Protection of Personal Information (2026)	- Chinese developers required to prove that servers are physically isolated from China - Delays for games scheduled for Q1 2026 launch in Japan
Regulations of Korea	- Amendment of the Game Industry Promotion Act - Requirements: user count and revenue thresholds prescribed + do not have an address/place of business	- Foreign game companies operating in Korea to designate a local representative by 23 Oct 2025 (recurring fines otherwise) - Tougher for companies to operate in Korea without physical presence
	Introduction of the AI Basic Act (22 Jan 2026) with a grace period of 1 year	- Companies are required to implement AI labelling (in form of watermark/notice) - Fines if the above-mentioned is not satisfied - Might not be pleasing to user gaming experience

Appendix 5 : NetEase's Approach to Global Expansion

Dimension	Approach
Operating Model	● R&D-driven model
Expansion Strategies	● Establish overseas studios ● Export self-developed games
Main Revenue	● Global monetization of in-house developed products
Localization Strategy	● Deep cultural localization (e.g., strong localization strategy in the Japanese market - Knives Out)
Potential Risk	● Long development cycles ● Variability in cross-cultural acceptance

Appendix 6 : Current Macro Analysis: US-Iran War

NetEase	37 Interactive	Perfect World
• MENA expansion via SANDSOFT is operating in a war-adjacent region. • NetEase is scaling back its international studio portfolio amid the US-China tensions, which is exacerbated by the Iran war. • Its flagship titles like <i>Marvel Rivals</i> and <i>Naraka: Bladepoint</i> are globally distributed, making the company more sensitive to international market instability.	• 37 Interactive's overseas business faces similar MENA headwinds as NetEase, though with less high-profile exposure. • As a mid-tier player, it could also feel greater pressure if a domestic economic slowdown hits consumer spending, as the mobile gaming market's regulatory environment heavily favors established domestic publishers.	• Perfect World is relatively insulated from Middle East disruptions. • Perfect World's revenue mix is heavily domestic, making it the least exposed of the three to the immediate war fallout. • Rising energy prices and any broader slowdown in Chinese consumer discretionary spending remain indirect risks.

* MENA: Middle East and North Africa

* SANDSOFT: A game publishing and investment company based in Saudi Arabia.

Appendix 7 : Data Privacy Practices & Analysis

Key Privacy Practices

- **User Data Collection:** Account information, gameplay behavior, and device info.
- **Security Protection:** Encryption, access control, and internal policies.
- **User Data Rights:** Right to access, modify, and delete personal info.
- **Third-Party Integration:** Shared with payment, analytics, and cloud providers.

NetEase

Data : Account, gameplay behavior.
Security : Encryption & access control.
Sharing/Rights : Service providers; Access & correction.

37 Interactive Entertainment

Data : Account, device info, payment.
Security : Security protection + third-party compliance.
Sharing/Rights : Payment/ad partners; Data requests.

Perfect World

Data : Account, device info, gameplay.
Security : Technical + administrative safeguards.
Sharing/Rights : Global servers; Access, deletion, opt-out.

Appendix 8.1 : Stock Price of NetEase



* Source: Yahoo Finance, data in USD updated April 21, 2026

Appendix 8.2: Stock Price of 37 Interactive



* Source: Yahoo Finance, data in CHY updated April 21, 2026

Appendix 8.3 : Stock Price of Perfect World



* Source: Yahoo Finance, data in CHY updated April 21, 2026

Appendix 9 : Way of Funding Capex

The Need for Capex

- **Developing new games (R&D)**
- **Maintaining Servers and technology systems**
- **Buying studios or game IP**
- **Expanding into overseas markets**

Main Sources

- Gaming companies earn strong cash from:
- In-game purchases
- Live-service revenue
- Recurring player spending

If Operating Cash Flow > Capex

→ The company can fund growth using its own money.

Secondary Sources

- Bonds / Bank loans:
Mainly for large acquisitions or International expansion

Appendix 10 : Game Analysis

Sample Selection

Top 3 revenue titles extracted from key industry players

Strategic Rationale:

- Represent each firm's core revenue engine.
- Capture structural competitive capability.

Analytical Framework

Core dimensions of our deep-dive analysis:

- **Revenue** → Monetization Power
- **MAU** → User Scale
- **Ranking** → Market Competitiveness

$$\text{Revenue} = \text{MAU} \times \text{ARPU}$$

Together these metrics reveal lifecycle stage, monetization efficiency, and competitive intensity.

Industry Timeline

- **2020 - 2021 Pandemic-driven Expansion** Demand Expansion
High engagement, stable hierarchy across major publishers.
- **2022 License Suspension** Regulatory Shock
Supply constraint and notable industry growth slowdown.
- **2023 License Resumption** Product Cycle Shift
Major launches leading to a visible structural market shift.
- **2024 - 2025 Market Maturity** Competitive Intensification
Intense competitive consolidation among top-tier titles.

Appendix 11 : Comparable Company Selection Framework

Selection Principles

- Business relevance: core gaming exposure across development, publishing, platform, or gaming-led monetization.
- Model coverage: self-developed IP, publishing, community / platform, overseas, and AI-adjacent names.
- Listing-market comparability: both A-share and H-share peers are included.
- Data availability: liquid listed companies with usable TTM valuation metrics.

Expanded Peer Universe

A - Share	H - Share
37 Interactive	NetEase
Perfect World	Tencent
Kaiying Network	Bilibili
Century Huatong	XD Inc.
G-bits	IGG
Giant Network	NetDragon
Ourpalm	Kingsoft
Kunlun Tech	

Appendix 12.1 : NetEase – Valuation Assumptions

Assumption	Value	Rationale
Revenue CAGR Yrs 1–3	9%	Games rebound + Marvel Rivals / Where Winds Meet international ramp
Revenue CAGR Yrs 4–5	6%	Natural deceleration as international markets mature
Base EBIT Margin	32.3%	Derived from FY2025 actuals: \$10.4B gross profit – \$5.2B opex
EBIT Margin Expansion	+0.5%/yr	Self-dev game mix shift, Cloud Music improving, AI efficiency gains
WACC	10.5%	RF 4.3% + ERP 5.5% + China risk 1.5%, beta 0.72
Terminal Growth Rate	3.5%	Between China long-run nominal GDP (~4–5%) and inflation (~2.5%)
Tax Rate	15%	FY2025 effective rate 14.8%; HNTE preferential status assumed stable
Capex and D&A	~1.0% / ~1.1%	Asset-light platform; capex fell 46% YoY in FY2024
Net Cash Add-back	\$23.4B	Full net cash position as of Dec 31, 2025 — negligible debt

* CAGR: Compound Annual Growth Rate ; EBIT: Earnings Before Interest and Taxes ; WACC: Weighted Average Cost of Capital ; D&A: Depreciation and Amortization ; RF: Risk-Free Rate ; ERP: Equity Risk Premium ; HNTE: High and New Technology Enterprise

Appendix 12.2 : NetEase – FY 2025 Financial Snapshot

TOTAL REVENUE

\$16.1B

+10.3% YoY

GROSS PROFIT

\$10.4B

64.5% margin

OPERATING CASH FLOW

\$7.3B

+\$1.0B vs FY2024

NET CASH (DEC 2025)

\$23.4B

vs \$18.8B in 2024

Revenue by segment:

Segment	2025 Revenue	YoY Change	% of Total
Games & Related VAS	\$13.2B	+~10%	82%
Youdao (ed-tech)	\$0.84B	+~5%	5%
NetEase Cloud Music	\$1.1B	-2%	7%
Innovative & Other	\$0.97B	-15%	6%

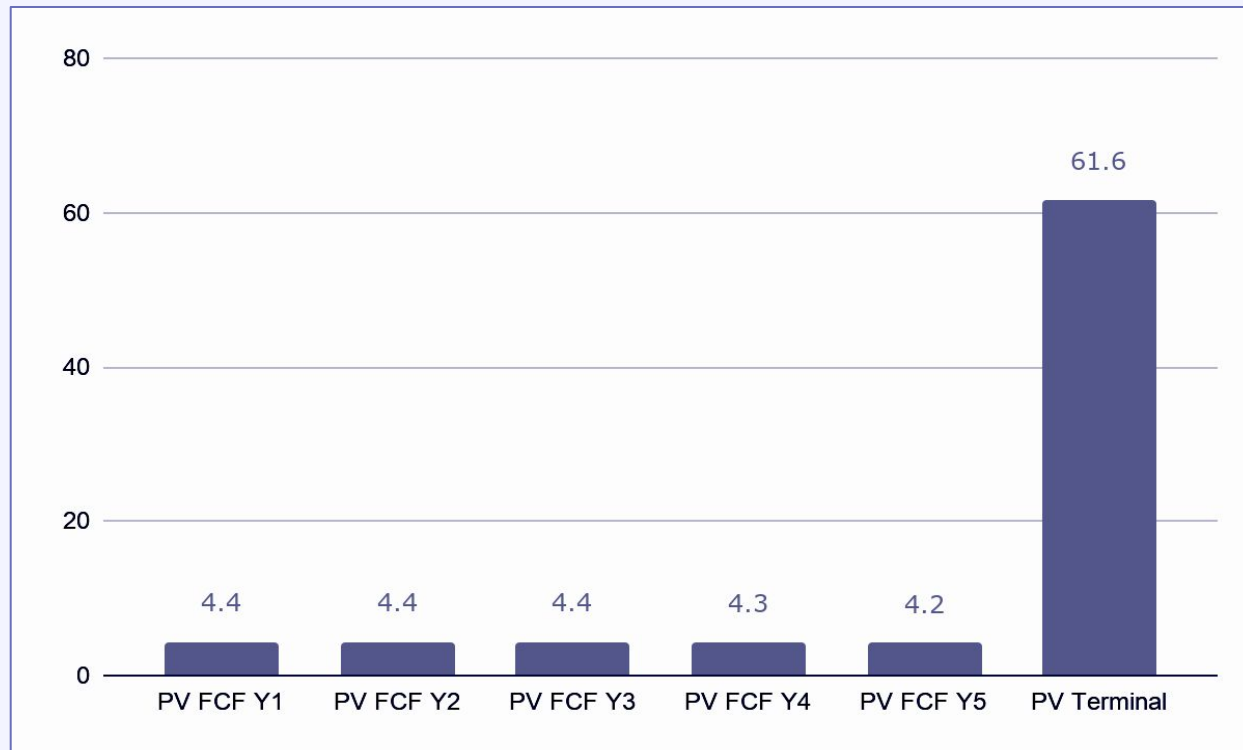
* VAS: Value-Added Services

Appendix 12.3 : NetEase — 5-Year DCF Valuation

Line Item	2025	2026	2027	2028	2029	2030
Revenue	\$16.1B	\$17.5B	\$19.1B	\$20.8B	\$22.1B	\$23.4B
EBIT	\$5.2B	\$5.8B	\$6.4B	\$7.0B	\$7.6B	\$8.2B
EBIT Margin	32.3%	32.8%	33.3%	33.8%	34.3%	34.8%
NOPAT (after tax)	\$4.4B	\$4.9B	\$5.4B	\$6.0B	\$6.4B	\$6.9B
+D&A	\$0.18B	\$0.19B	\$0.21B	\$0.23B	\$0.24B	\$0.26B
– Capex & NWC Change	–\$0.23B	–\$0.25B	–\$0.27B	–\$0.29B	–\$0.31B	–\$0.33B
Free Cash Flow	\$4.4B	\$4.8B	\$5.4B	\$5.9B	\$6.4B	\$6.9B

* EBIT: Earnings Before Interest and Taxes ; NOPAT: Net Operating Profit After Tax ; D&A: Depreciation and Amortization ; Capex: Capital Expenditure ; NWC: Net Working Capital

Appendix 12.4 : NetEase – PV of Free Cash Flows & Terminal Value



PV of FCFs (5yr) **\$21.6B**

PV of Terminal Value **\$61.6B**

Enterprise Value **\$83.2B**

+ Net Cash **\$23.4B**

Equity Value **\$106.6B**

Implied ADS Price **\$168**

Appendix 12.5 : NetEase – Implied ADS Price: WACC × Terminal Growth Rate

TGR\WACC	8.5%	9.0%	9.5%	10.5%	11%	12.0%
2.0%	\$186	\$175	\$166	\$150	\$144	\$132
2.5%	\$196	\$184	\$173	\$155	\$148	\$136
3.0%	\$208	\$193	\$181	\$161	\$153	\$140
3.5%	\$222	\$205	\$191	\$168	\$159	\$145
4.0%	\$240	\$219	\$202	\$176	\$166	\$150
4.5%	\$261	\$236	\$216	\$186	\$174	\$155

* ADS: American Depositary Shares ; WACC: Weighted Average Cost of Capital ; TGR: Terminal Growth Rate

Appendix 12.6 : NetEase – Delisting Risk (Net Cash Haircut)

To account for repatriation risk and delisting scenario value erosion, the **\$23.4B** cash pile is discounted at **0%, 15%, 25%, and 40%**.

Onshore Cash Trap

A significant portion of NetEase's cash sits in China. Repatriating it incurs a 10% withholding tax plus capital control friction (not freely accessible to ADS holders at face value).

Delisting Liquidity Loss

If ADSs are delisted, the cash can't be monetized at full value by US investors — conversion to HK shares is operationally cumbersome and OTC trading applies a structural illiquidity discount.

VIE Structural Gap

US shareholders own a Cayman holding company, not direct equity in operating entities. In a VIE challenge scenario, cash held in Chinese subs may not be legally accessible to offshore shareholders.

** VIE: Variable Interest Entity*

IMPLIED ADS PRICE

BASE

0% haircut

\$168

15% haircut

\$163

25% haircut

\$159

40% haircut

\$153

Appendix 12.7 : NetEase – Delisting Risk (Probability-Weighted Scenario Blend)

Probability-weighted ADS price: \$150

vs \$118.20 current → +27% risk-adjusted upside

BASE CASE

75%

PCAOB access continues. ADS trades on NASDAQ. VIE structures unchallenged.

Discount applied

NO DISCOUNT

Implied price

\$168

Weighted

\$168

SOFT DELISTING

15%

PCAOB access lapses. ADSs move to OTC. Institutional forced selling.

Discount applied

-30%

Implied price

\$117

Weighted

\$17.6

HARD DELISTING

10%

VIE structure challenged or geopolitical rupture. US holders' legal claim becomes uncertain.

Discount applied

-60%

Implied price

\$67

Weighted

\$6.7

* ADS: American Depositary Shares ; PCAOB: Public Company Accounting Oversight Board ; VIE: Variable Interest Entity ; OTC: Over-the-counter

Appendix 13.1 : 37 Interactive – Valuation Assumptions

Assumption	Value	Rationale
Revenue CAGR Yrs 1–3	6.0%	Based on historical ~4–8% growth
Revenue CAGR Yrs 4–5	5.0%	Converges toward industry growth
Base EBIT Margin	18.0%	~¥1.3B EBIT / ~¥7B revenue
EBIT Margin Expansion	+0.5%/yr	200bps total improvement
WACC	11.3%	RF 2.6% + (β 1.1 $\times$ ERP 6.0%) + 2.1% risk premium
Terminal Growth Rate	3%	Below GDP growth
Tax Rate	15%	Matches effective tax rate for Chinese tech firms
Capex and D&A	5.5%	Based on recent reinvestment levels (~5–7%)
Net Cash Add-back	RMB 3.3B	Based on latest cash minus debt estimate

* CAGR: Compound Annual Growth Rate ; EBIT: Earnings Before Interest and Taxes ; WACC: Weighted Average Cost of Capital ; D&A: Depreciation and Amortization ; RF: Risk-Free Rate ; ERP: Equity Risk Premium

Appendix 13.2 : 37 Interactive –Financial Snapshot

TOTAL REVENUE

¥7.0B

GROSS PROFIT

¥0.9B

OPERATING CASH FLOW

¥1.1B

NET CASH (DEC 2025)

¥3.3B

Revenue by segment:

Segment	FY25E Revenue	YoY Change	% of Total
Games	¥6.1B	+6%	87%
Film / TV	¥0.7B	+12%	10%
Other / Non-core	¥0.2B	-3%	3%
Total	¥7.0B	+5%	100.0%

Appendix 13.3 : 37 Interactive — 5-Year DCF Valuation

Line Item	2025	2026	2027	2028	2029	2030
Revenue	¥7.0B	¥7.4B	¥7.8B	¥8.3B	¥8.7B	¥9.1B
EBIT	¥1.26B	¥1.37B	¥1.48B	¥1.62B	¥1.74B	¥1.87B
EBIT Margin	18.0%	18.5%	19.0%	19.5%	20.0%	20.5%
NOPAT (after tax)	¥1.07B	¥1.16B	¥1.26B	¥1.38B	¥1.48B	¥1.59B
+D&A	¥0.39B	¥0.41B	¥0.43B	¥0.46B	¥0.48B	¥0.50B
– Capex & NWC Change	–¥0.46B	–¥0.47B	–¥0.49B	–¥0.51B	–¥0.52B	–¥0.54B
Free Cash Flow	¥1.00B	¥1.10B	¥1.20B	¥1.33B	¥1.44B	¥1.55B

* EBIT: Earnings Before Interest and Taxes ; NOPAT: Net Operating Profit After Tax ; D&A: Depreciation and Amortization ; Capex: Capital Expenditure ; NWC: Net Working Capital

Appendix 13.4 : 37 Interactive – Implied Share Price: WACC x Terminal Growth Rate

TGR\WACC	9.00%	9.50%	10.00%	10.50%	11.00%	11.50%
2.0%	¥18.5	¥17.5	¥16.6	¥15.8	¥15.0	¥14.3
2.5%	¥19.8	¥18.3	¥17.3	¥16.3	¥15.4	¥14.7
3.0%	¥21.2	¥19.5	¥18.2	¥17.0	¥14.8	¥15.3
3.5%	¥23.0	¥21.0	¥19.5	¥18.0	¥16.7	¥15.8
4.0%	¥25.0	¥22.8	¥21.0	¥19.2	¥17.6	¥16.6
4.5%	¥27.5	¥24.8	¥22.5	¥20.5	¥18.8	¥17.5

* WACC: Weighted Average Cost of Capital ; TGR: Terminal Growth Rate

Appendix 14.1 : Perfect World – FY2025E Valuation Assumptions

Assumption	Value	Rationale
Revenue CAGR Yrs 1-3	11%	Built on FY25E recovery, Zhuxian World ramp, and better pipeline monetization visibility
Revenue CAGR Yrs 4-5	6%	Growth moderates as the rebound normalizes and the base gets harder
Base EBIT Margin	19.0%	Anchored to FY25E recovery and improved game profitability seen in 25Q3
EBIT Margin Expansion	+0.8%/yr	Cost discipline, healthier mix, and operating leverage from scale
WACC	10.0%	Recovery visibility improved, but execution risk still warrants a double-digit discount rate
Terminal Growth Rate	3.0%	Long-run growth above inflation but below high-growth premium assumptions
Tax Rate	15%	Consistent with the China gaming framework used across the deck
Capex and D&A	~6.0% / ~5.5%	Moderate reinvestment need with continuing content capitalization
Net Cash Add-back	RMB 3.3B	Latest official balance-sheet anchor at Sep 30, 2025

* FY25E anchored to 25Q3 official disclosures ; CAGR: Compound Annual Growth Rate ; EBIT: Earnings Before Interest and Taxes ; WACC: Weighted Average Cost of Capital ; D&A: Depreciation and Amortization

Appendix 14.2 : Perfect World – FY2025E Financial Snapshot

FY25E REVENUE

¥ 7.2B

+29.3% YoY

FY25E NET PROFIT

¥ 0.8B

vs -¥ 1.29B in FY2024

FY25E OPERATING CASH FLOW

¥ 1.1B

+90% vs FY2024

NET CASH (SEP 2025)

¥ 3.26B

cash 3.31B less short debt 0.05B

FY25E revenue by segment:

Segment	FY25E Revenue	YoY Change	% of Total
Games	¥ 5.95B	+14.8%	82.6%
Film / TV	¥ 1.22B	+248.7%	17.0%
Other / Non-core	¥ 0.03B	-25.0%	0.4%
Total	¥ 7.20B	+29.3%	100.0%

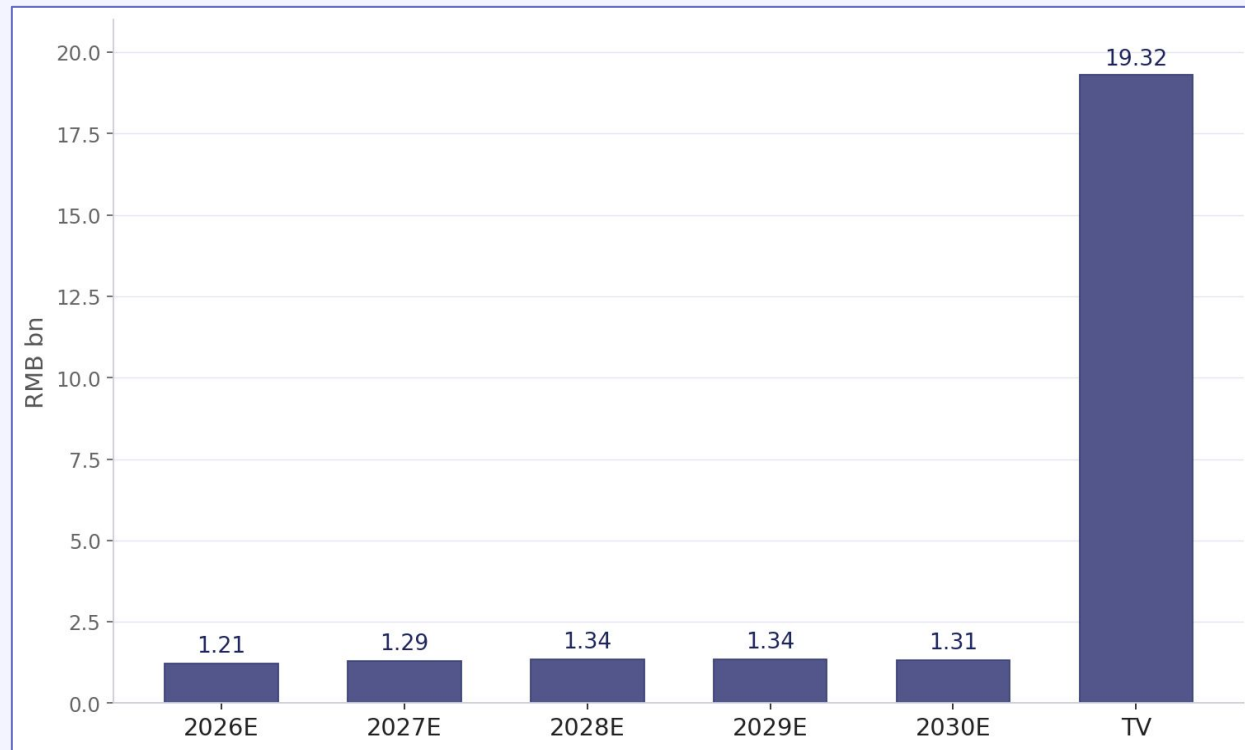
** FY25E estimates are annualized from 25Q3 official disclosures unless otherwise noted*

Appendix 14.3 : Perfect World – FY2025E 5-Year DCF Valuation

Line Item	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	¥ 7.2B	¥ 8.1B	¥ 9.0B	¥ 9.8B	¥ 10.5B	¥ 11.1B
EBIT	¥ 1.4B	¥ 1.6B	¥ 1.9B	¥ 2.2B	¥ 2.4B	¥ 2.6B
EBIT Margin	19.0%	20.0%	21.0%	22.0%	22.5%	23.0%
NOPAT (after tax)	¥ 1.2B	¥ 1.4B	¥ 1.6B	¥ 1.8B	¥ 2.0B	¥ 2.2B
+D&A	¥ 0.4B	¥ 0.4B	¥ 0.5B	¥ 0.5B	¥ 0.6B	¥ 0.6B
- Capex & NWC Change	-¥ 0.4B	-¥ 0.5B	-¥ 0.5B	-¥ 0.6B	-¥ 0.6B	-¥ 0.7B
Free Cash Flow	¥ 1.1B	¥ 1.3B	¥ 1.6B	¥ 1.8B	¥ 2.0B	¥ 2.1B

* EBIT: Earnings Before Interest and Taxes ; NOPAT: Net Operating Profit After Tax ; D&A: Depreciation and Amortization ; Capex: Capital Expenditure ; NWC: Net Working Capital

Appendix 14.4 : Perfect World - PV of Free Cash Flows & Terminal Value



PV of FCFs (5yr) **¥ 6.5B**

PV of Terminal Value **¥ 19.3B**

Enterprise Value **¥ 25.8B**

+ Net Cash **¥ 3.3B**

Equity Value **¥ 29.1B**

Implied Share Price **¥15.0**

Appendix 14.5 : Perfect World – Implied Share Price: WACC x Terminal Growth Rate

TGR\WACC	9.0%	9.5%	10.0%	10.5%	11.0%	11.5%
2.0%	¥15.4	¥14.5	¥13.7	¥12.9	¥12.3	¥11.7
2.5%	¥16.3	¥15.2	¥14.3	¥13.5	¥12.7	¥12.1
3.0%	¥17.3	¥16.0	¥15.0	¥14.1	¥13.3	¥12.6
3.5%	¥18.5	¥17.0	¥15.8	¥14.8	¥13.9	¥13.1
4.0%	¥19.9	¥18.2	¥16.8	¥15.6	¥14.5	¥13.7
4.5%	¥21.6	¥19.5	¥17.9	¥16.5	¥15.3	¥14.3

* FY25E anchored to 25Q3 official disclosures ; WACC: Weighted Average Cost of Capital ; TGR: Terminal Growth Rate